

successful trading style that incorporates gaps. It worked for her, but it might not work for you.

Experience

[Figure 36.4](#) shows the sale of a stock I owned a long time ago, based on the appearance of two gaps.

In early 2013, Georgia Gulf Corporation (GGC) merged with a portion of PPG Industries and then was acquired by Westlake Chemical Corporation. It did a reverse split over a decade after I sold, and that's why the right scale shows such a high price.

Let's talk about how I used gaps in this trade. I owned the stock and watched as price made a V-shaped top. At A, circled, the stock made a chart pattern called a narrow range 4. It says that the last price bar of the four is the shortest. Price gapped down out of the pattern in a breakaway gap. A day later, another gap appeared, an exhaustion gap.

Here are my notes from the trade. “20 February 1998: Two days ago, there was a narrow range 4 coupled with an inside day. Had I known about these, I might have sold it sooner, but I held on to today before I sold. This is now after a breakaway gap (yesterday) and an exhaustion gap (today). I suspect that the decline is over. From here, I believe it will double top then decline. Volume is just too high to be sustainable.”